GROUP PEOPLE SERVICES LIMITED

DIRECTORS' REPORT AND FINANCIAL STATEMENTS

FOR THE 52 WEEKS ENDED 27 DECEMBER 2008

REGISTERED NUMBER : 5799085

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GROUP PEOPLE SERVICES LIMITED
DIRECTORS' REPORT

The directors have pleasure in submitting their report and the audited financial statements of the Company for the 52 weeks to 27 December 2008.

BUSINESS REVIEW AND PRINCIPAL ACTIVITIES

The Company is a wholly owned subsidiary of Galiform Plc and operates as part of Galiform Plc's Corporate division. The Company's principal activities are providing and managing employees for other group companies. The directors are not aware, at the date of this report, of any likely major changes in the Company's activities in the next year.

As shown in the Company's profit and loss account on page 5, the Company's sales for the period were £69.1m *(2007: £92.9m)* and the profit after tax was £1.4m *(2007: loss of £1.4m)*. The directors recommend that no dividend be paid. The directors are satisfied with the progress of the business.

The balance sheet on page 6 of the financial statements shows the Company's financial position at the end of the year. Details of amounts owed by the parent company are shown in note 6.

The Galiform Plc group ("the Group") manages its operations on a divisional basis. For this reason, the Company's directors believe that further key performance indicators specific to the Company are not necessary or appropriate for an understanding of the development, performance or position of the business. The performance of the corporate division of Galiform Plc, which includes the Company, is discussed in the Group's Annual Report which does not form part of this report.

The Company, as part of the Group, recognises the importance of its environmental responsibilities, monitors its impact on the environment, and designs and implements policies to reduce any damage that might be caused by the group's activities. The Company operates in accordance with Group policies, which are described in the Group's Annual Report, which does not form part of this Report.

PRINCIPAL RISKS AND UNCERTAINTIES

The Company is financed by a loan from its ultimate parent and has no third party debt. It therefore has no interest rate exposure. The Company has no other significant risks and uncertainties, other than those risks that it shares with the Galiform Plc Group, given that the Company's principal activities are providing and managing employees for other Galiform Plc Group companies. The Group's risks are discussed in the Group's Annual Report, which does not form part of this Report.

GOING CONCERN

After making enquiries and taking into consideration the profitability and financial position of the company, the directors have formed a judgement, at the time of approving the financial statements, that there is a reasonable expectation that the company has adequate resources to continue in operational existence for the foreseeable future. For this reason the directors continue to adopt the going concern basis in preparing the financial statements.

EMPLOYEES

Details of the number of employees and related costs can be found in note 3 to the financial statements.

Applications for employment by disabled persons are always fully considered, bearing in mind the aptitudes of the applicant concerned. In the event of members of staff becoming disabled every effort is made to ensure that their employment with the company continues and that appropriate training is arranged. It is the policy of the Company that the training, career development, and promotion of disabled persons should, as far as possible, be identical with that of other employees.

The Company participates in the Group's policies and practices to keep employees informed on matters relevant to them as employees through regular meetings. Employee representatives are consulted regularly on a wide range of matters affecting their interests.

DIRECTORS

The directors of the Company who served throughout the period, except as noted, were:

R Fenwick
G Hughes (resigned 27 December 2008)
J Parker-Welch
M Robson (appointed 26 December 2008)

SUPPLIER PAYMENT POLICY

The Company does not have any trade creditors *(2007: none).*

POLITICAL AND CHARITABLE CONTRIBUTIONS

The Company did not make any charitable or political donations during the period *(2007: nil).*

AUDITORS

Each of the persons who is a director at the date of approval of this annual report confirms that:

- so far as the directors are aware, there is no relevant audit information of which the company's auditors are unaware; and
- the directors have taken all the steps they ought to have taken as directors in order to make themselves aware of any relevant audit information and to establish that the company's auditors are aware of that information.

The confirmation is given and should be interpreted in accordance with the provisions of s234ZA of the Companies Act 1985.

On 1 December 2008 Deloitte and Touche LLP changed its name to Deloitte LLP.

Pursuant to a shareholders' resolution, the Company is not obliged to re-appoint its auditors annually and Deloitte LLP will therefore continue in office.

REGISTERED OFFICE

The company's registered office is International House, 66 Chiltern Street, London W1U 4JT.

GROUP PEOPLE SERVICES LIMITED
DIRECTORS' REPORT (Cont'd)

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). The financial statements are required by law to give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable accounting standards have been followed; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The directors are responsible for keeping proper accounting records which disclose with reasonable accuracy at any time the financial position of the Company and to enable them to ensure that the financial statements comply with the Companies Act 1985. They are also responsible for the system of internal control, safeguarding the assets of the company and hence for taking responsible steps for the prevention and detection of fraud and other irregularities.

By Order of the Board

C Bishop
Secretary

27th April 2009

GROUP PEOPLE SERVICES LIMITED

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF GROUP PEOPLE SERVICES LIMITED

We have audited the financial statements of Group People Services Limited for the 52 week period ended 27 December 2008 which comprise the profit and loss account, the balance sheet, and the related notes 1 to 13. These financial statements have been prepared under the accounting policies set out therein.

This report is made solely to the company's members, as a body, in accordance with section 235 of the Companies Act 1985. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditors' report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Respective responsibilities of directors and auditors

The directors' responsibilities for preparing the financial statements in accordance with applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice) are set out in the Statement of Directors' Responsibilities.

Our responsibility is to audit the financial statements in accordance with relevant legal and regulatory requirements and International Standards on Auditing (UK and Ireland).

We report to you our opinion as to whether the financial statements give a true and fair view and are properly prepared in accordance with the Companies Act 1985. We also report to you whether in our opinion the information given in the Directors' Report is consistent with the financial statements.

In addition we report to you if, in our opinion, the company has not kept proper accounting records, if we have not received all the information and explanations we require for our audit, or if information specified by law regarding directors' remuneration and other transactions is not disclosed.

We read the Directors' Report and consider the implications for our report if we become aware of any apparent misstatements within it.

Basis of audit opinion

We conducted our audit in accordance with International Standards on Auditing (UK and Ireland) issued by the Auditing Practices Board. An audit includes examination, on a test basis, of evidence relevant to the amounts and disclosures in the financial statements. It also includes an assessment of the significant estimates and judgements made by the directors in the preparation of the financial statements, and of whether the accounting policies are appropriate to the company's circumstances, consistently applied and adequately disclosed.

We planned and performed our audit so as to obtain all the information and explanations which we considered necessary in order to provide us with sufficient evidence to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or other irregularity or error. In forming our opinion we also evaluated the overall adequacy of the presentation of information in the financial statements.

Opinion

In our opinion:

- the financial statements give a true and fair view, in accordance with United Kingdom Generally Accepted Accounting Practice, of the state of the company's affairs as at 27 December 2008 and of its profit for the 52 week period then ended;
- the financial statements have been properly prepared in accordance with the Companies Act 1985; and
- the information given in the Directors' Report is consistent with the financial statements.

Deloitte LLP

Deloitte LLP
Chartered Accountants and Registered Auditors
London , UK.
27 April 2009

GROUP PEOPLE SERVICES LIMITED
PROFIT & LOSS ACCOUNT
FOR THE 52 WEEKS ENDED 27 DECEMBER 2008

	NOTES	**52 Weeks to 27 December 2008 £000**	52 Weeks to 29 December 2007 £000
Turnover	1	**69,098**	92,941
Cost of sales		**(67,058)**	(94,855)
Profit/(loss) on ordinary activities before taxation	2	**2,040**	(1,914)
Tax on profit on ordinary activities	5	**(680)**	528
Profit/(loss) for the financial period		**1,360**	(1,386)

The results for the current and prior periods are derived from continuing operations

There are no recognised gains or losses in the current period, other than those included in the profit and loss account, and therefore no statement of recognised gains and losses is presented.

GROUP PEOPLE SERVICES LIMITED
BALANCE SHEET AT 27 DECEMBER 2008

	NOTES	27 Dec 2008 £000	27 Dec 2008 £000	29 Dec 2007 £000	29 Dec 2007 £000
Current assets					
Debtors	6	**2,338**		183	
Current liabilities					
Creditors: amounts due within one year	7	**(680)**		(499)	
Net current assets			**1,658**		(316)
Net assets/(liabilities)			**1,658**		(316)
Capital and reserves					
Called up share capital	8		-		-
Profit and loss account	9		**419**		(941)
Share-based payments reserve			**1,239**		625
Shareholders' funds/(deficit)	9		**1,658**		(316)

Approved by the Board of Directors on 27 April 2009.

Mark Robson
Director

1. ACCOUNTING POLICIES

The accounting policies summarised below have all been applied consistently throughout the current period.

BASIS OF PREPARATION

The financial statements are prepared under the historical cost convention and in accordance with applicable United Kingdom law and accounting standards.

The financial statements have been prepared on a going concern basis as discussed in the Directors' Report on page 1.

Under Financial Reporting Standard 1, the Company is exempt from the requirement to prepare a cash flow statement on the grounds that it is a wholly owned subsidiary undertaking and a consolidated cash flow statement is given in the financial statements of Galiform Plc, formerly MFI Furniture Group Plc.

The financial statements include the results for the 52 week period ended 27 December 2008, being the Saturday nearest to the Company's accounting reference date of 31 December.

TURNOVER

Turnover represents the net value of services sold to customers excluding value added tax. All turnover arises in the United Kingdom.

TAXATION

UK Corporation tax is provided at amounts expected to be paid (or recovered) using tax rules and laws that have been enacted or substantially enacted by the balance sheet date.

Deferred taxation is provided on a full provision basis, without discounting, on all timing differences which have arisen but not reversed at the balance sheet date.

PENSIONS

i) Defined benefit pension schemes:

The Company participates in its parent company (Galiform Plc)'s group retirement benefit scheme. This is a defined benefit arrangement, operating through a multi-employer defined-benefit scheme. The assets and liabilities of the scheme are held separately from those of the Galiform Group. The company is unable to identify its share of the underlying assets and liabilities of the scheme and accordingly accounts for the scheme as if it was a defined contribution scheme. This is in line with the guidance in FRS 17 relating to group defined benefit pension schemes.

ii) Defined contribution pension schemes:

The Galiform Group operates a defined contribution scheme for its employees. For defined contribution schemes, the amount charged to the profit and loss account in respect of pension costs and other post-retirement benefits is the contributions payable in the year. Differences between contributions payable in the year and contributions actually paid are shown as either accruals or prepayments in the balance sheet.

SHARE-BASED PAYMENTS

FRS 20 has been applied to all grants of equity instruments after 7 November 2002 that were unvested as of 25 December 2005.

The Company issues equity-settled share-based payments to certain employees, based on the shares of its ultimate parent company Galiform PLC. Equity-settled share-based payments are measured at fair value at the date of grant. The fair value determined at the grant date of the equity-settled share based payments is expensed on a straight-line basis over the vesting period, based on the Group's estimate of shares that will eventually vest.

Fair value is measured by use of a binomial model. The expected life used in the model has been adjusted, based on management's best estimate, for the effects of non-transferability, exercise restrictions, and behavioural considerations.

2. PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION

The auditors' remuneration of £5,000 *(2007: £5,000)* for audit services was borne by the fellow group subsidiary company Galiform Corporate Services Ltd in the current and prior periods.

3. STAFF NUMBERS AND COSTS (INCLUDING DIRECTORS)

The average number of persons (full-time equivalent) employed by the Company during the period was as follows:

	27 Dec 2008	29 Dec 2007
	No.	No.
Information Systems Services	**195**	215
Manufacturing	**1,269**	1,797
	1,464	2,012

The aggregate payroll costs of these persons were as follows:	**27 Dec 2008**	29 Dec 2007
	£000	£000
Wages and salaries	**50,972**	78,205
Social security costs	**2,788**	6,000
Other pension costs	**10,741**	9,233
Share-based payment costs (see Note 13)	**628**	374
	65,129	93,812

4. REMUNERATION OF DIRECTORS

No director received any emoluments for services to this Company during the current or prior period.

5. TAX ON PROFIT ON ORDINARY ACTIVITIES

	27 Dec 2008 £000	29 Dec 2007 £000
UK corporation tax on ordinary activities	770	(528)
Adjustments relating to prior years	(90)	-
	680	(528)

Factors affecting current period corporation tax

	27 Dec 2008	29 Dec 2007
The taxation charge, as a percentage of profit on ordinary activities before exceptional items, is calculated at	**33.32%**	34.0%

The current period corporation tax charge is higher than the standard rate of corporation tax in the UK of 28.5% for the following reasons:

	27 Dec 2008 £000	29 Dec 2007 £000
Profit/(loss) on ordinary activities before taxation for the period	**2,040**	(1,914)
Profit/(loss) on ordinary activities before taxation for the period multiplied by the standard rate of corporation tax in the UK of 28.5%. *(2007: 30%)*	**581**	(466)
Effects of:		
Tax deductions on exercise	**(7)**	(62)
Amortisation of shares	**179**	
Car leasing disallowance	**17**	-
Adjustments relating to prior years	**(90)**	-
Current period corporation tax charge	**680**	(62)

There is no unprovided deferred tax.

6. DEBTORS

	27 Dec 2008 £000	29 Dec 2007 £000
Amounts falling due within one year:		
Amounts owed by parent and fellow subsidiary undertakings	**2,338**	183

7. CREDITORS

	27 Dec 2008 £000	29 Dec 2007 £000
Amounts falling due within one year:		
Corporation tax	**(680)**	(499)

8. AUTHORISED & ISSUED SHARE CAPITAL

	27 Dec 2008 £000	29 Dec 2007 £000
100,000,000 authorised ordinary shares of £1.00 each	**100,000**	100,000
1 allotted, called up, issued, fully paid ordinary share of £1.00	-	-

9. RECONCILIATION OF MOVEMENT IN SHAREHOLDERS' FUNDS

	Share Capital	Profit and Loss Reserve	Share-based payments reserve	Shareholders' Funds
	£'000	£'000	£'000	£'000
At 27 April 2006 restated	-	445	251	696
Loss for the period 2007	-	(1,386)	-	(1,386)
Share based payments	-	-	374	374
At 29 December 2007	-	(941)	625	(316)
Profit for the period 2008	-	1,360	-	1,360
Share based payments	-	-	614	614
At 27 December 2008	**-**	**419**	**1,239**	**1,658**

10. CONTINGENT LIABILITIES

Members of the Group have assigned UK property leases in the normal course of business. Should the assignees fail to fulfil any obligations in respect of these leases, members of the Group will be liable for those defaults. The number of claims arising to date has been small and the cost, which is charged to income as it arises, has not been material.

There is a Group VAT registration cross-guarantee under which if one Group company fails to pay its VAT then the other Group companies are jointly and severally liable. The amount outstanding on this guarantee at the period end is £11.3m *(2007: £11.3m)*.

The Company, together with other Group companies, has guaranteed the Group's obligations under the Group bank facility.

11. ULTIMATE PARENT COMPANY AND RELATED PARTY TRANSACTIONS

The Company's parent company is Galiform Holdings Ltd and the ultimate parent company and controlling entity is Galiform Plc, formerly MFI Furniture Group Plc, both incorporated in Great Britain and registered in England and Wales.

The largest and smallest group in which the results of the Company are consolidated is that headed by Galiform Plc. The consolidated accounts of this group are available to the public and can be obtained from the Registrar of Companies, Companies Registration Office, Crown Way, Maindy, Cardiff CF14 3UZ.

The Company is exempt under FRS 8 from the requirement to disclose transactions within the group headed by Galiform Plc, on the grounds that it is a wholly owned subsidiary.

12. PENSIONS

i) Defined contribution pensions

The Galiform Group operates a defined contribution scheme for its employees. The Company's pension charge for the current year for the defined contribution pension scheme was £1.1m *(2007: £2.7m)*. There were no outstanding contributions at the period end.

ii) Defined benefit pensions

The Company participates in the Galiform Plc Group retirement benefit plan. This is a defined benefit multi-employer arrangement, which operates through s funded pension schemes which provides benefits based on the final pensionable pay of participating employees. The assets of the scheme are held separately from those of the Group, being invested with independent fund managers. The Company is unable to identify its share of the underlying assets and liabilities of the scheme and accordingly accounts for the scheme as if it was a defined contribution scheme. This is the prescribed treatment in FRS 17 "Retirement Benefits"

12. PENSIONS (continued)

Further information about the Galiform plc defined-contribution retirement benefit schemes is available in the Galiform Plc statutory accounts. The latest actuarial valuation of the Group defined contribution schemes was carried out at 6 April 2008 by the scheme actuary. This was subsequently rolled forward to 27 December 2008 by the actuary advising the Group, and restated on a basis consistent with market conditions at that date. This exercise showed a scheme deficit at 27 December 2008 of £122.2m *(2007: £83.5m)*, before netting off the associated deferred tax asset. The roll-forward was done according to the requirements of International Accounting Standard 19: "Employee Benefits" ("IAS 19", under which the Galiform Group reports its results), rather than FRS 17 (under which this Company reports its results). However, management have no reason to believe that there would be any significant difference between a valuation under FRS17 and one under IAS 19. Further details are given in the consolidated financial statements of Galiform Plc.

The Company's defined benefit pension charge for the year was £0.5m *(2007: £0.3m)*. There were no outstanding contributions at the period end.

The Group adopted IFRS with effect from 26 December 2004, and therefore the Group consolidated financial statements disclose pension charges, assets, and liabilities in line with IAS 19 *"Employee Benefits"*. The Group does not believe that there are any material differences between the net pension deficit and the pension charge under IAS 19, compared to under FRS17. It may therefore be useful to users of these accounts to consult the full IAS 19 disclosures given in the consolidated financial statements of Galiform Plc.

13. SHARE-BASED PAYMENTS

1) Charge for the period and details of each scheme

The Company recognised a charge of £0.6m *(2007: charge of £0.4m)* in respect of share-based payments during the period. This charge is included as part of Staff Costs. The Company has various share-based payment schemes, which are all equity-settled. The main details of all schemes which existed during the period are given below.

Galiform PLC, the ultimate holding company, has various share-based payment schemes, which are all equity-settled and which are offered from time to time to Galiform Group employees. The main details of all schemes which existed during the period are given below.

All schemes relate to shares in Galiform PLC. All references in paragraphs (1) (a) to (f), and paragraph (3) below to "the Company", share price, EPS, Total Shareholder Return ("TSR"), market price, dividend yield, and volatility refer to Galiform PLC, and its 10p ordinary shares.

a) Performance Share Plan

This is a discretionary free share plan where participants have a contingent right to receive free shares with performance conditions attached.

The performance period is measured from the start of the financial period in which the awards are granted. The performance period is three years. Vesting occurs at the end of the performance period. The different subdivisions and performance conditions are as follows:

i) no other condition other than continued employment
ii) 50% of the Options shall be exercisable if the compound annual growth in the Group's Operating Profit over the performance period is at least 10% rising to 100% if compound annual growth over the same period is at least 20%.
iii) 25% of the award will vest if 2010 PBT of £110 million is achieved. 100% will vest if 2010 PBT of £135 million is achieved. The awards will vest on a sliding scale between these two points.

b) Deferred Bonus Plan - 2008 grant

Under the Co-Investment Plan participants can defer some or all of their cash bonus into shares and pledge these deferred shares as "invested shares" under the plan (see below (d)). The deferred share awards in 2008 are the result of particpants deferring the cash bonuses awarded to them in March 2008. The shares are held in trust and participants are entitled to dividends during the deferral period. A participant can remove the shares from the Trust at any time but as they would no longer be pledged as Invested Shares under the Co-Investment Plan, then unless replaced, the participant would forego the resulting match.

c) Co-Investment Plan

This is a co-investment plan where each participant is permitted to invest a limited amount of shares on an annual basis for the purposes of the Plan.

(i) 2007 award: PBT targets. At the end of a three year performance period, each invested share will be matched by an award of up to three matching shares if 2010 PBT of £135m is achieved; 25 percent of the maximum match (i.e. 0.75:1) will be earned for achieving 2010 PBT of £110 million and the awards will vest on a sliding scale between these two points.

(ii) 2007 award: TSR target. A further match of up to two shares will be made for achieving upper quartile Total Shareholder Return (TSR), measured against the FTSE 250 Index (excluding investment trusts).

13. SHARE-BASED PAYMENTS (continued)

d) Foundation Plan

This plan awards nil-cost options, and also options with an exercise price equal to the market price at the date of grant.

2006 Awards
These vested on the last day of the 2005/06 financial year, as the performance conditions were met. There is a further deferral period of two years before the awards are made available to the participants.

Vesting of awards granted in the form of nil-cost options depended on the achievement of a share price hurdle over thirty consecutive dealing days. 15% of the award vests for the achievement of 95 pence and 100% of the award vests for the achievement of 125 pence. The award vests on a straight line basis between these two points.

Vesting of awards granted in the form of options with an exercise price equal to the market price at the date of grant vest depended on the achievement of a share price hurdle over thirty consecutive dealing days. The exercise price of the options granted in 2006 was 92p. 35% of this award vests if the share price achieves 115 pence over thirty consecutive dealing days, and 100% of the award vests if the share price achieves 160 pence over thirty consecutive dealing days. The award vests on a straight line basis between these two points.

2007 Awards
These awards were granted in the form of nil cost options and vested on the last day of the 2006/7 financial year to the degree that the performance conditions had been met. There is a further deferral period of two years before the vested awards are made available to the participants.

e) Executive Share Options

This is a discretionary share option plan. These options are granted with an exercise price equal to market value.

The vesting period is three years from the date of grant with an exercise period of seven years (i.e. a total life of ten years). In the information below, these options have been further subdivided according to their different performance conditions, in order to give more meaningful information. The different subdivisions and performance conditions are as follows:

i) EPS growth must equal RPI + 9%. If this is achieved there will be full vesting. If this is not achieved there will be no vesting.
ii) 20% of the options will vest if the share price over 30 consecutive dealing days is 185p rising on a straight line basis to 100% vesting if the share price over 30 consecutive days reaches 265p. Underpinning this is a requirement to achieve 20% annual compound growth over the performance period.

f) Share Incentive Scheme (Freeshares)

This is an 'all-employee' share incentive plan whereby participants receive a grant of free shares in the Company. If the employees are still employed by the Group three years after the grant, then the shares vest. Dividends are paid out on the shares between award date and vesting date. There are no other performance conditions attached to these awards.

g) SAYE (Sharesave)

This is a save as you earn scheme for all employees whereby participants receive an option to purchase shares at a later date at a price equal to the market price at grant date. The term of this scheme is five years ending on 1.12.08. Participants have a right to exercise options for a period of six months after this date.

13. SHARE-BASED PAYMENTS (continued)

2) Movements in the period

The following tables show the number and weighted average exercise prices ("WAEP") of each category of share options during the period, and the movements in each category. The significance of options granted before 7 November 2002 is that they have been excluded from the IFRS2 share-based payment charge on the basis of their date of grant, as allowed on adoption of IFRS.

a) Performance Share Plan

i) no other condition other than continued employment	**52 weeks to 27 December 2008**	**52 weeks to 27 December 2008**	52 weeks to 29 December 2007	52 weeks to 29 December 2007
	Number	**WAEP (£)**	Number	WAEP (£)
In issue at beginning of period	**26,000**	**0.00**	0	N/A
Granted in period	**0**	**N/A**	30,500	0.00
Lapsed in period	**(1,000)**	**0.00**	(2,500)	
Exercised in period	**(2,000)**	**0.00**	(2,000)	
In issue at end of period	**23,000**	**0.00**	26,000	0.00
Exercisable at end of period	**0**	**N/A**	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	
Weighted average share price for options exercised during the period		**0.53**		1.13
Weighted average contractual life remaining for share options outstanding at the period end (years)	**1.42**		2.42	
Weighted average fair value of options granted during the period (£)	**N/A**		1.50	
Range of exercise prices for options outstanding at the period end (£):				
- from	**0.00**		0.00	
- to	**0.00**		0.00	

a) Performance Share Plan

ii) 50% of the Options shall be exercisable if the compound annual growth in the Group's Operating Profit over the performance period is at least 10% rising to 100% if compound annual growth over the same period is at least 20%.	**52 weeks to 27 December 2008**	**52 weeks to 27 December 2008**	52 weeks to 29 December 2007	52 weeks to 29 December 2007
	Number	**WAEP (£)**	Number	WAEP (£)
In issue at beginning of period	**171,987**	**0.00**	0	0.00
Granted in period	**0**	**N/A**	171,987	0.00
Lapsed in period	**0**	**N/A**	0	N/A
Exercised in period	**0**	**N/A**	0	N/A
In issue at end of period	**171,987**	**0.00**	171,987	0.00
Exercisable at end of period	**0**	**N/A**	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	
Weighted average share price for options exercised during the period		**0.00**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**1.42**		2.42	
Weighted average fair value of options granted during the period (£)	**N/A**		1.51	
Range of exercise prices for options outstanding at the period end (£):				
- from	**0.00**		0.00	
- to	**0.00**		0.00	

13. SHARE-BASED PAYMENTS (continued)

a) Performance Share Plan

iii) 25% of the award will vest if 2010 PBT of £110 million is achieved. 100% will vest if 2010 PBT of £135 million is achieved. The awards will vest on a sliding scale between these two points.	**52 weeks to 27 December 2008**	**52 weeks to 27 December 2008**	52 weeks to 29 December 2007	52 weeks to 29 December 2007
	Number	**WAEP (£)**	Number	WAEP (£)
In issue at beginning of period	**118,521**	**0.00**	0	N/A
Granted in period	**0**	**N/A**	118,521	0.00
Lapsed in period	**0**	**N/A**	0	N/A
Exercised in period	**0**	**N/A**	0	N/A
In issue at end of period	**118,521**	**0.00**	118,521	0.00
Exercisable at end of period	**0**	**N/A**	0	nil
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	
Weighted average share price for options exercised during the period		**0.00**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**2.00**		2.42	
Weighted average fair value of options granted during the period (£)	**N/A**		1.51	
Range of exercise prices for options outstanding at the period end (£):				
- from	**0.00**		0.00	
- to	**0.00**		0.00	

b) Deferred Bonus Plan

i) Grant 2008	**52 weeks to 27 December 2008**	**52 weeks to 27 December 2008**	52 weeks to 29 December 2007	52 weeks to 29 December 2007
	Number	**WAEP (£)**	Number	WAEP (£)
In issue at beginning of period	**0**	**0.00**	N/A	N/A
Granted in period	**188,791**	**0.00**	N/A	N/A
Lapsed in period	**0**	**N/A**	N/A	N/A
Exercised in period	**0**	**0.00**	N/A	N/A
In issue at end of period	**188,791**	**0.00**	N/A	N/A
Exercisable at end of period	**0**	**N/A**	N/A	N/A
Number of options in the closing balance that were granted before 7 November 2002	**0**		N/A	
Weighted average share price for options exercised during the period	**N/A**			N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)		**2.01**		N/A
Weighted average fair value of options granted during the period (£)	**0.79**		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	**0.00**		N/A	
- to	**0.00**		N/A	

13. SHARE-BASED PAYMENTS (continued)

c) Co-investment Plan

i) Executive Co-investment Plan: 2007 award, PBT target	**52 weeks to 27 December 2008 Number**	**52 weeks to 27 December 2008 WAEP (£)**	52 weeks to 29 December 2007 Number	52 weeks to 29 December 2007 WAEP (£)
In issue at beginning of period	**780,000**	**0.00**	0	N/A
Granted in period	**0**	**N/A**	780,000	0.00
Lapsed in period	**0**	**N/A**	0	N/A
Exercised in period	**0**	**N/A**	0	N/A
In issue at end of period	**780,000**	**0.00**	780,000	0.00
Exercisable at end of period	**0**	**N/A**	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	
Weighted average share price for options exercised during the period		**N/A**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**2.00**			3.00
Weighted average fair value of options granted during the period (£)	**0.00**		1.08	
Range of exercise prices for options outstanding at the period end (£):				
- from	**0.00**		0.00	
- to	**0.00**		0.00	

c) Co-investment Plan

ii) Executive Co-investment Plan: 2007 award, TSR target	**52 weeks to 27 December 2008 Number**	**52 weeks to 27 December 2008 WAEP (£)**	52 weeks to 29 December 2007 Number	52 weeks to 29 December 2007 WAEP (£)
In issue at beginning of period	**520,000**	**0.00**	0	N/A
Granted in period	**0**	**N/A**	520,000	0.00
Lapsed in period	**0**	**N/A**	0	N/A
Exercised in period	**0**	**N/A**	0	N/A
In issue at end of period	**520,000**	**0.00**	520,000	0.00
Exercisable at end of period	**0**	**N/A**	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	
Weighted average share price for options exercised during the period		**N/A**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**2.00**			3.00
Weighted average fair value of options granted during the period (£)	**N/A**		0.55	
Range of exercise prices for options outstanding at the period end (£):				
- from	**0.00**		0.00	
- to	**0.00**		0.00	

13. SHARE-BASED PAYMENTS (continued)

d) Foundation Plan

i) 2006 award: nil-cost options	**52 weeks to 27 December 2008 Number**	**52 weeks to 27 December 2008 WAEP (£)**	52 weeks to 29 December 2007 Number	52 weeks to 29 December 2007 WAEP (£)
In issue at beginning of period	**270,000**	**0.00**	270,000	0.00
Granted in period	**0**	**N/A**	0	N/A
Lapsed in period	**0**	**N/A**	0	N/A
Exercised in period	**0**	**N/A**	0	N/A
In issue at end of period	**270,000**	**0.00**	270,000	0.00
Exercisable at end of period	**0**	**N/A**	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	
Weighted average share price for options exercised during the period		**N/A**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**0.00**		0.00	
Weighted average fair value of options granted during the period (£)	**N/A**		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	**0.00**		0.00	
- to	**0.00**		0.00	

d) Foundation Plan

ii) 2006 award: market-value options	**52 weeks to 27 December 2008 Number**	**52 weeks to 27 December 2008 WAEP (£)**	52 weeks to 29 December 2007 Number	52 weeks to 29 December 2007 WAEP (£)
In issue at beginning of period	**358,210**	**0.92**	690,000	0.92
Granted in period	**0**	**N/A**	0	N/A
Lapsed in period	**0**	**N/A**	(331,790)	0.92
Exercised in period	**0**	**N/A**	0	N/A
In issue at end of period	**358,210**	**0.92**	358,210	0.92
Exercisable at end of period	**0**	**N/A**	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	
Weighted average share price for options exercised during the period		**N/A**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**0.00**		0.00	
Weighted average fair value of options granted during the period (£)	**N/A**		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	**0.92**		0.92	
- to	**0.92**		0.92	

13. SHARE-BASED PAYMENTS (continued)

d) Foundation Plan

iii) 2007 award: nil-cost options	**52 weeks to 27 December 2008 Number**	**52 weeks to 27 December 2008 WAEP (£)**	52 weeks to 29 December 2007 Number	52 weeks to 29 December 2007 WAEP (£)
In issue at beginning of period	**360,000**	**0.00**	0	N/A
Granted in period	**0**	**N/A**	360,000	0.00
Lapsed in period	**0**	**N/A**	0	N/A
Exercised in period	**0**	**N/A**	0	N/A
In issue at end of period	**360,000**	**0.00**	360,000	0.00
Exercisable at end of period	**0**	**N/A**	0.00	N/A
Number of options in the closing balance that were granted before 7 November 2002	**0**		0.00	
Weighted average share price for options exercised during the period		**N/A**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**0.00**		0.00	
Weighted average fair value of options granted during the period (£)	**N/A**		1.01	
Range of exercise prices for options outstanding at the period end (£):				
- from	**0.00**		0.00	
- to	**0.00**		0.00	

e) Executive Share Options

i) Full vesting if EPS increases by RPI + 9%

	52 weeks to 27 December 2008 Number	**52 weeks to 27 December 2008 WAEP (£)**	52 weeks to 29 December 2007 Number	52 weeks to 29 December 2007 WAEP (£)
In issue at beginning of period	**543,168**	**1.03**	688,760	1.08
Granted in period	**0**	**N/A**	0	N/A
Lapsed in period	**(15,516)**	**1.02**	(145,592)	1.19
Exercised in period	**0**	**N/A**	0	N/A
In issue at end of period	**527,652**	**1.04**	543,168	1.03
Exercisable at end of period	**527,652**	**1.04**	543,168	1.03
Number of options in the closing balance that were granted before 7 November 2002	**278,037**		543,168	
Weighted average share price for options exercised during the period		**N/A**		0.92
Weighted average contractual life remaining for share options outstanding at the period end (years)	**0.00**		0.00	
Weighted average fair value of options granted during the period (£)	**0**		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	**62.75**		0.56	
- to	**139.00**		1.60	

13. SHARE-BASED PAYMENTS (continued)

e) Executive Share Options

ii) 20% of the options will vest if the share price over 30 consecutive dealing days is 185p rising on a straight line basis to 100% vesting if the share price over 30 consecutive days reaches 265p. Underpinning this is a requirement to achieve 20% annual compound growth over the performance period.

	52 weeks to 27 December 2008 Number	**52 weeks to 27 December 2008 WAEP (£)**	52 weeks to 29 December 2007 Number	52 weeks to 29 December 2007 WAEP (£)
In issue at beginning of period	**504,732**	**1.59**	0	N/A
Granted in period	**0**	**N/A**	504,732	1.59
Lapsed in period	**0**	**N/A**	0	
Exercised in period	**0**	**N/A**	0	
In issue at end of period	**504,732**	**1.59**	504,732	1.59
Exercisable at end of period	**0**	**N/A**	1,053,628.00	1.59
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	
Weighted average contractual life remaining for share options outstanding at the period end (years)		**N/A**		2.42
Weighted average fair value of options granted during the period (£)	**1.42**		0.43	
	N/A			
Range of exercise prices for options outstanding at the period end (£):				
- from	**1.59**		1.59	
- to	**1.59**		1.59	

f) Share incentive scheme (Freeshares)

	52 weeks to 27 December 2008 Number	**52 weeks to 27 December 2008 WAEP (£)**	52 weeks to 29 December 2007 Number	52 weeks to 29 December 2007 WAEP (£)
In issue at beginning of period	**37,678**	**0.00**	37,678	0.00
Granted in period	**0**	**N/A**	0	0.00
Lapsed in period	**(17,792)**	**0.00**	0	0.00
Exercised in period	**(7,604)**	**0.00**	0	0.00
In issue at end of period	**27,490**	**0.00**	37,678	0.00
Exercisable at end of period	**27,490**	**0.00**	37,678	0.00
Number of options in the closing balance that were granted before 7 November 2002	**27,490**		37,678	
Weighted average share price for options exercised during the period		**N/A**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**0.00**		0.00	
Weighted average fair value of options granted during the period (£)	**N/A**		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	**0.00**		0.00	
- to	**0.00**		0.00	

13. SHARE-BASED PAYMENTS (continued)

g) SAYE (Sharesave)

	52 weeks to 27 December 2008 Number	**52 weeks to 27 December 2008 WAEP (£)**	52 weeks to 29 December 2007 Number	52 weeks to 29 December 2007 WAEP (£)
In issue at beginning of period	**66,483**	**1.84**	75,703	1.84
Granted in period	**0**	**N/A**	0	1.84
Lapsed in period	**0**	**N/A**	(9,220)	1.84
Exercised in period	**0**	**N/A**	0	1.84
In issue at end of period	**66,483**	**1.84**	66,483	1.84
Exercisable at end of period	**66,483**		0	1.84
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	
Weighted average share price for options exercised during the period		**N/A**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**0.0**		1.01	
Weighted average fair value of options granted during the period (£)	**N/A**		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	**1.84**		1.84	
- to	**1.84**		1.84	

3) Fair value of options granted

The fair value of all options granted except Sharesave is estimated on the date of grant using a binomial option valuation model. Sharesave schemes are valued using a Black Scholes model as they are not considered to be of such complexity that they require a binomial model. The key assumptions used in the models were:

	52 weeks to 27 December 2008	52 weeks to 29 December 2007
Dividend yield (%)	0.7	2.0
Expected share price volatility (%)	46.0	36.0 to 39.0
Historical volatility (%)	46.0	36.0 to 39.0
Risk-free interest rate (%)	4.5	5.0 to 5.8
Expected life of options (years)	2.6	2.5 to 3.2

Historical volatility is measured for each scheme over the period equal to the vesting period of the scheme. The figure arrived at is then used as the best estimate of expected future volatility.